

Table 57.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the height of the scallop by taking the difference between the highest high and the lowest low in the pattern. For upward breakouts, add the difference to the highest high. For downward breakouts, subtract the difference from the lowest low. The result is the price target. The bottom portion of the table shows how often price reaches the target based on various heights.
Handle	Expect price to retrace a portion of the scallop after it completes (but this is not always the case, and the retrace can include the entire height of the scallop so that price breaks out downward).
Buy point	Take a position in the stock once price closes above the top of the scallop (an upward breakout). Performance doesn't suggest trading a downward breakout.
Stop location	See Table 57.7 for stop placement.
Even ends	Scallops with near-even start and end prices suggest a trend ending.
Scallops in a series	In a rising price trend, some scallops tend to become shorter and narrower. If the start and end prices of the pattern are near the